CoreWeave (CRWV)

Recommendation. Watch. The bond looks cheap by more than the model's noise, every check points the same way, and the expected profit beats trading costs. Before it becomes a trade, an analyst must name a dated event that would close the gap and the level that would prove the view wrong. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 1 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+246	45%	+111	supports owning
G2 clocks. Two clocks	-309	20%	-62	against owning
G2 rest. Built methods (rest)	+426	12%	+50	supports owning
G3. Credit skills	-215	12%	-25	against owning
G4. Books	+123	12%	+14	leans to owning
Combined, before trading costs			**+88**	
Trading costs			-149	
Combined, after trading costs			**-61**	
Weighted cases and stories alone, after costs			+213	
Calibrated: after-cost number x measured slope 0.079			-5	

Against the weighted cases and stories alone, the combination is 275 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -5 bp a year after costs (-15 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: supports owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +246 bp a year before trading costs (costs are 149 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 45% of the combined view and ranks 1 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+120	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	-326	25%	-82	F4; RV PDF E75-E76
Debt against market value	+23	25%	+6	F7.7
Return above cash, repriced in every story	+1,289	25%	+322	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 739 bp over Treasuries at 5 years. A company with its leverage (8.9x with leases) pays 574 bp on the fair line, so the bond is cheap by 165 bp. The bills outlast the signed contracts (section G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** CoreWeave is The Essential Cloud for AITM, purpose-built to accelerate breakthroughs by AI pioneers, from leading research labs to enterprises fueling business growth. Our CoreWeave Cloud platform enables the full lifecycle of AI, including large-scale model training, inference, data movement, continuous iteration, and agentic workflows.
2. **How it earns:** revenue 7.6bn a year at a 50% EBITDA margin.
3. **What it must spend to stand still:** rent of about $2.1bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns; the largest customer is 36% of revenue.

Business type: A5; flags: M3 concentration.

G1.3 Earnings, normalised

Last 12 months: EBITDA $3.8bn at a 50% margin; margin trend over 8 quarters -1.6 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.0bn. Free cash flow $-13.7bn: -363% of EBITDA. Earnings-quality flags raised: EQ7 conversion, FCF check (waterfall against OCF less capex) (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$7.0bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$7.0bn
Runway at today's cash burn, all capital spending (quarters)	2.0
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	2
Runway we quote (the shortest)	**2.0** (severe, committed capex)
Debt due in the next 18 months	$10.6bn
Cash to meet debt due in a year, base case	1.29x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.4bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$-5.4bn
First quarter below zero, likely story	quarter 6
Lowest point with all capital spending	$-45.4bn
First quarter below zero with all capital spending	quarter 2
Lowest point, severe case	$-9.0bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$-5.4bn
Debt due inside 8 quarters, share of all debt	30%

Refinancing shock. $10.6bn falls due in the next two years. It pays about 3.97% today (derived cash interest rate (LTM interest / debt)). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.9bn (23.8% of EBITDA). Interest cover after refinancing: 1.7x; after capital spending -7.6x. Free cash flow after the shock: -40.9% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$35.6bn
Lease liabilities	$16.5bn
EBITDA, last 12 months	$3.8bn
Debt / EBITDA	9.4x
(Debt + leases) / (EBITDA + rent)	8.9x
Net debt / EBITDA	8.0x
Coverage (after all capital spending)	-12.8x
Fixed-charge cover (after maintenance spending)	0.54x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
21873SAB4	9.25%	2030-06-01	93.7	11.37%	661
21873SAC2	9.00%	2031-02-01	90.3	11.91%	714
21873SAG3	9.75%	2031-10-01	89.8	12.54%	776
21873SAK4	9.63%	2032-07-15	88.8	12.36%	755

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $85bn (shares $55bn plus net debt): 22.6x EBITDA; debt is 42% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (21873SAG3, 9.75% due 2031-10-01, price 89.79 plus 4.51 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 63% of the price paid.

Measure	Value
Expected return above cash, bp a year	+1,289
Chance of a loss over six months	4.0%
Chance of doing worse than cash	4.0%
Average loss in the worst 5% of outcomes	30.6%
Same, with rates and the market hedged out, bp a year	+613
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	-842

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: supports owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +426 bp a year before trading costs (costs are 149 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 1 of the issuers on this group alone. Gate: watch.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+571	42%	+238	Spec S14 E0; K15
Weighted cases and stories	+363	25%	+91	M5.4, M7.5
Spread against the fair line	+342	17%	+57	M7.4, M7.5
The pair	+776	8%	+65	M7.4; F10 S4
Health panel	-295	8%	-25	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -309 bp a year before trading costs (costs are 149 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 8 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-309	100%	-309	M4.7

Fixed bills total $106.4bn, centred 5.5 years out: leases in force $29.4bn, signed leases not yet started $35.5bn, debt principal $35.6bn, interest $4.7bn, purchase commitments $1.2bn. That is 18.2 years of today's EBITDAR; next year's bills take 206% of it.

Measure	Value
Signed contracts (RPO)	$103.7bn
Where bills centre / where contract cash centres	year 5.5 / year 2.6
Contracts 99% booked by	year 7
Margin needed for contracts to pay every bill	over 100% (no margin is enough)
Company margin (EBITDAR)	77%
Share of bills paid by contracts at that margin	75%
Bills due after the contracts end	$32.6bn (31%)
of which debt to refinance	$0.0bn (0%)
of which rent and purchases to recontract	$32.6bn (31%)
Revenue to sign after the contracts end	4.1 years of today's revenue
Largest running shortfall	$26.7bn
Top three customers	72%
Top customer stops paying	contracts pay 48%; shortfall $55.4bn
With excluded lease	contracts pay 66%; shortfall $41.4bn
Share paid by contracts at a 0.20 margin	20%
Share paid by contracts at a 0.35 margin	34%
Share paid by contracts at a 0.50 margin	49%
Share paid by contracts at a 0.77 margin	75%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	8.0%	5.6x	8.0x	$5.6bn	no	no
down moderate	11%	8.4%	6.6x	8.6x	$4.7bn	no	no
down severe	4%	8.3%	9.3x	9.3x	$2.0bn	no	no
upside	21%	8.3%	4.9x	7.4x	$6.5bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	5.7x	9.3x	0%	4.0%	348
recession	2%	6.0x	9.9x	100%	10.0%	919
higher for longer	8%	5.8x	9.3x	0%	4.7%	414
disinflation rally	4%	5.7x	9.3x	0%	3.1%	270
stagflation	0%	6.1x	9.9x	100%	10.2%	935

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 739 bp against a fair 574 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Information Technology. Rating class: CCC (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	+78%	+276%
Sector only	+447%	+103%
Rating only	+169%	+227%

SPiDER: No SPiDER: fewer than 6 annual EBITDA figures, a financial issuer, or non-positive sustainable EBITDA. **Against ORCL.** Spreads at 5 years: CRWV 739 bp, ORCL 136 bp.

Spread per	CRWV	ORCL	Cheaper
turn of leverage	83	32	CRWV
year of EBITDA that depends on renewal	85	23	CRWV
unit of breakeven margin	721	165	CRWV
year of clock gap	257	28	CRWV

The fair line favours long CRWV, short ORCL: a gap of 159 bp, which halves in about 17 weeks on six months of trades. Under the stories the pair earns soft landing +348, recession +918, higher for longer +414, disinflation rally +270, stagflation +935 bp a year; weighted +363 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 363 bp a year before trading costs, 213 bp after. It beats costs. The expected default loss is charged on the price paid: 63% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	6.0%	4.1%	-1.9%	open	not tested
Breakeven default probability, 12 months (loss on price)	11.7%	4.1%	-7.6%	5.9%	yes
Leverage the spread is pricing	9.75	8.94	-0.81	0.90	no
Spread against fair (bp)	739	574	-165	160	yes
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Earnings after capital spending do not cover interest. Tracked by: coverage (-12.79). Resolves when: capital spending falls, or earnings rise.
- Earnings do not cover interest plus rent. Tracked by: fixed-charge cover (0.54). Resolves when: earnings rise or rent falls.
- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-3.63). Resolves when: growth spending ends.
- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.38). Resolves when: free cash flow turns positive.

- Margins are falling. Tracked by: margin trend (t-statistic) (-1.61). Resolves when: two quarters of stable margins.

Measure	Value	Band
Coverage	-12.79	red
Fixed-charge cover	0.54	red
Cash conversion (FCF / EBITDA)	-3.63	red
Free cash flow / debt	-0.38	red
Margin trend (t-statistic)	-1.61	red
Cash to meet debt due in 1 year (base case)	1.29	amber
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	2.00	amber
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.04	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -215 bp a year before trading costs (costs are 149 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-215	100%	-215	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $3.7bn. The company's own measure adds back $0.0bn of one-off items to reach $3.8bn: 0.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-13.7bn. The two roads to free cash flow (the EBITDA bridge, $-16.3bn; operating cash flow less capital spending, $-13.7bn) differ by 71% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 100.8% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	112.3%
EBITDA	improving	trend	121.2%
EBITDA margin	improving	data point	4.2%
cash conversion	open	no data	n/a

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	open
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: leans to owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor. Its estimate of expected profit is +123 bp a year before trading costs (costs are 149 bp a year); 1 of 2 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 2 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+246	50%	+123	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	50%	+0	Kricheff ch. 21

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$3.8bn
less capital spending	$20.6bn
less cash interest	$1.3bn
less cash taxes	$0.0bn
less increase in working capital	$-1.8bn
Free cash flow	**$-16.3bn**
Check: free cash flow before capital spending less operating cash flow	$-2.7bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	2.9x	Debt / EBITDA	9.4x
(EBITDA − capex) / interest	-12.8x	Net debt / EBITDA	7.6x
(EBITDA − maintenance capex) / interest	-0.2x	Free cash flow / debt	-38.0%
EBITDA / debt (highest rate at 1x cover)	11.0%	Market value / EBITDA	22.2x
Equity cushion (1 − debt / market value)	57%	Spread per turn of leverage	78 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	49%	5.9	57.5%	78.5%
Funds from operations / debt	10%	9.6	19.5%	10.8%
Free operating cash flow / debt	-26%	10.0	8.5%	2.5%
EBITDA / interest (with lease interest)	1.8x	9.5	3.2x	1.8x
EBITDA margin	50%	3.0		

Financial risk score 8.1. Business risk score 5.8: industry 5, steadiness of sales 5 (year-on-year growth varies by 11.2%), customer spread 8. The book puts 45% of the weight on business risk for this class, so the default risk score is 7.0: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

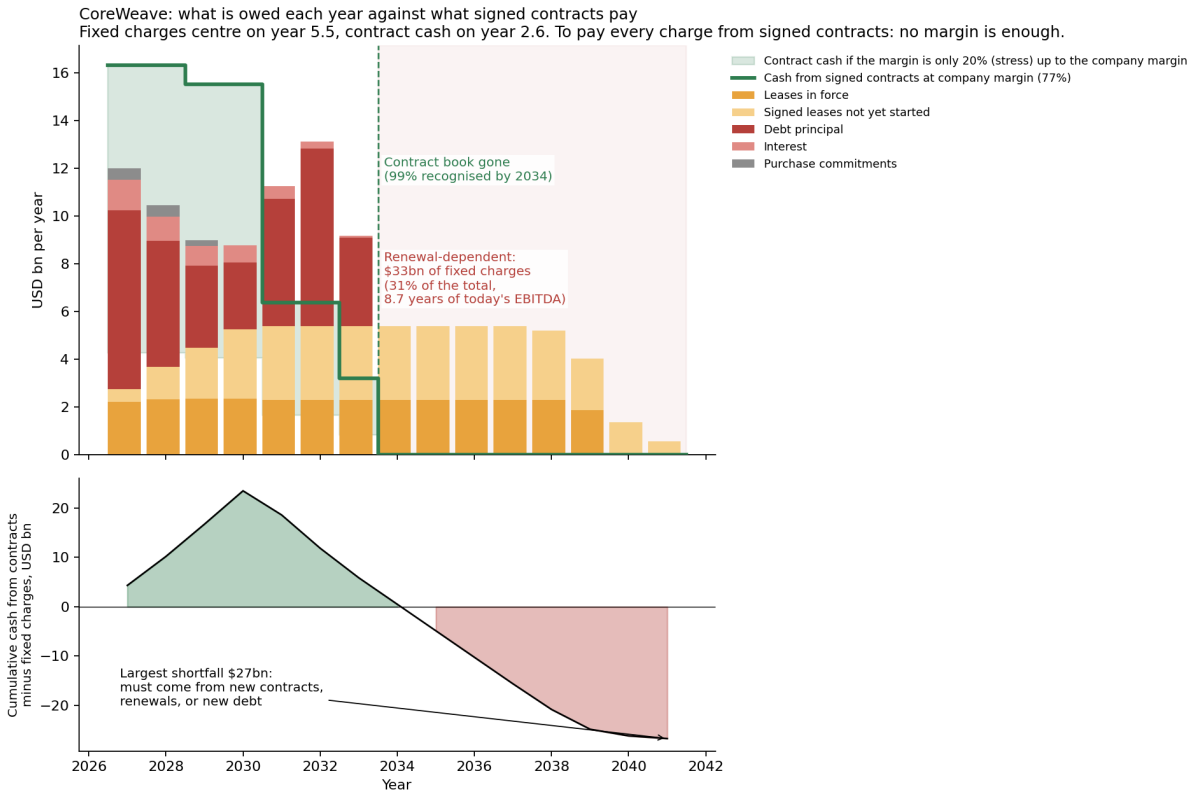
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-11-11 (estimate).
- Debt due by 0.5 years out: - $4.4bn.

Open questions, most important first:

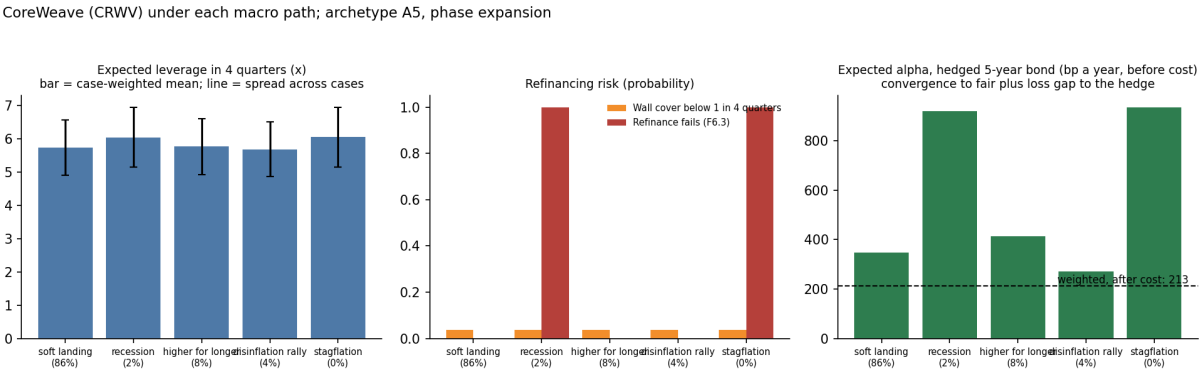
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. The funding gap opens only because no revolver capacity is tagged: read the credit facility note before using the gap.
7. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
8. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
9. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
10. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



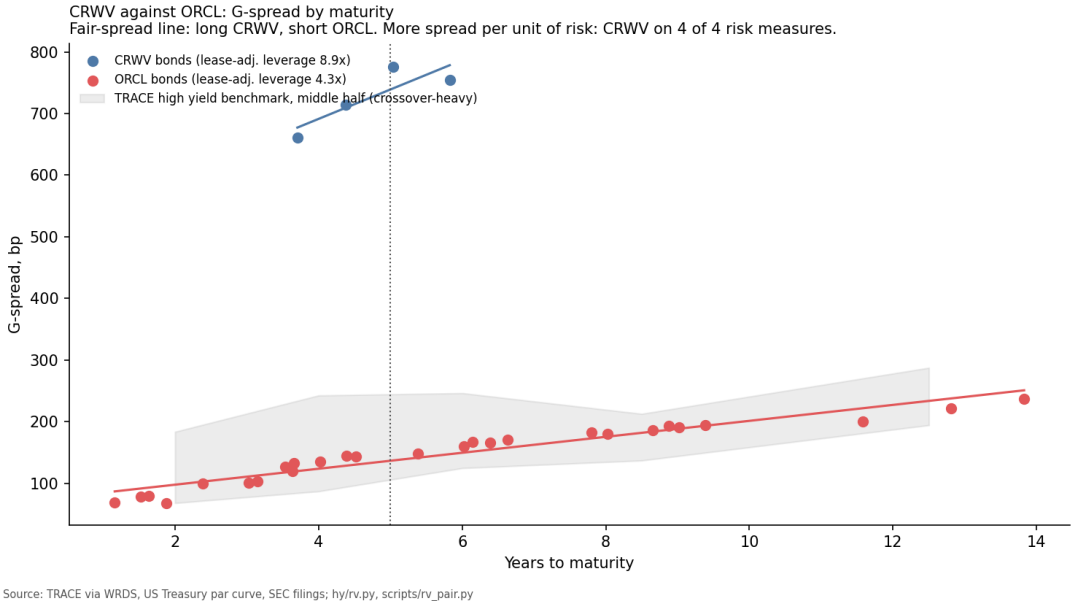
Source: CoreWeave SEC filings as of 2026-06-30 (XBRL), hy/clocks.py. Assumptions listed in the write-up.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).